

Which of the following is/are the component(s) of equity?

Select correct option:

- Share Capital
- Reserves
- Share Premium
- All of the given options

In which of the following activities, a business should capitalize its incurred expenditures according to IAS-38?

Select correct option:

- Development activities
- Research activities
- Both development and research activities
- None of the given options

According to IAS-38 the accounting treatment for research costs:

Select correct option:

- All research costs should be written off at the time of incurring with regard to prudence concept.
- Revenue nature expenditures are treated as expenses on the face of Income Statement whereas Capital expenditures are treated as Non-current Assets
- All research costs should be capitalized at the time of incurring with regard to materiality concept.
- No treatment is required under IAS-38

Which one of the following is related to the Benchmark Treatment for an investment in jointly controlled entities?

Select correct option:

- Proportionate Consolidation Method
- Equity Method
- LIFO Method
- Specific Identification Method

According to the Benchmark Treatment, Which of the following method is used for stock valuation?

Select correct option:

- FIFO Method or LIFO Method
- LIFO Method
- FIFO or Weighted Average Method
- Specific Identification Method

Which of the following is INCORRECT with respect to Periodic Inventory System?

Select correct option:

- Receipt of inventory is debited to Purchase Account
- Closing stock is recorded by debiting Stock Account and crediting Trading

Account

Receipt of inventory is debited to Stock Account

No record is made for individual issue in the General Ledger

According to Companies Ordinance 1984, at least what percentage of majority favor is required to pass the "Special Resolution"?

Select correct option:

45%

60%

75%

90%

Which of the following is the Classification of Current Assets with respect to the Companies Ordinance 1984?

Select correct option:

Building

Land

Premises

Marketable Securities

Identify which of the following techniques for valuing inventory are allowed under IAS-2? (i) FIFO (First in First Out) (ii) Average cost (iii) LIFO (Last in First Out) (iv) Replacement cost

Select correct option:

(i), (ii), (iii), (iv)

(i), (ii), (iv)

(i), (ii)

(iii), (iv)

baatao

ABC Chemicals Ltd. acquired an asset in year 2005. After five years, it has been assessed that the carrying value of asset is significantly higher than its recoverable value. What does this situation called in accounting language?

Select correct option:

Exchange loss

Appreciation

Depreciation

Impairment loss

Which one the following risk will arise when financial instruments fluctuate due to changes in foreign exchange rates?

Select correct option:

Credit Risk

Cash Flow Risk

Liquidity Risk

None of the given options

Under which of the following methods for inventory valuation, costs of earliest purchases assumed still to be in inventory?

Select correct option:

FIFO Method

LIFO Method

Weighted Average Method

Specific Identification Method

If the holding company owns 100% shares of the subsidiary company then the subsidiary type will be termed as:

Select correct option:

Partially Owned Subsidiary

Wholly Owned Subsidiary

Direct Subsidiary

Indirect Subsidiary

Surplus on revaluation of an asset is a/an:

Select correct option:

Realized reserve

Notional reserve

Actual reserve

Repurchased reserve

A debit balance of Rs.5,000 on A's account in the books of B means that:

Select correct option:

A is receivable of B

B is receivable of A

B owes A

A owes B

When we see the capital with respect to the net assets then it is called:

Select correct option:

The financial concept of capital maintenance

The physical concept of capital maintenance

Both physical and financial concept of capital maintenance

Neither physical nor financial concept of capital maintenance

According to IAS-16, property, plant and equipment are the assets which held for

Select correct option:

Production of goods or services

Supply of goods or services

Administrative purpose
All of the given options

Purchases of assets financed through issue of debentures

Assets that are not currently in use because of excess capacity

Assets not currently undergoing activities necessary to prepare for intended use

Assets intended for sale or use that are produced as discrete projects

Which one of the following is NOT an example of Financial Risk?

Select correct option:

Market risk

Credit risk

Liquidity risk

Security risk

When we see the capital with respect to the net assets then it is called:

Select correct option:

The financial concept of capital maintenance

The physical concept of capital maintenance

Both physical and financial concept of capital maintenance

Neither physical nor financial concept of capital maintenance

Which of the following may consist of more than 20 persons in case of partnership?

Select correct option:

Firms of Lawyers

Firms of Doctors

Firms of Associates

All of the given options

What will be the result of increase in the allowances for debtors?

Select correct option:

It will decrease in debtors and increase in profit

It will increase in debtors and decrease in profit

It will decrease in debtors and decrease in profit

It will increase in debtors and increase in profit

Loans that have to be repaid within one month are treated as:

Select correct option:

Short Term Liabilities

Long Term Liabilities

Contingent Liabilities

Medium Term Loans

Which of the following is INCORRECT for equity of a Public Limited Company?

Select correct option:

Equity = Total Assets – Total Liabilities

Equity = Share Capital + General Reserves + Revenue Reserves

Equity = Share Capital + Reserves

Equity = Share Premium + Reserves

Which of the followings information(s) should be disclosed by a company in respect of long term loans made to others?

Select correct option:

Interest rate

Period or installments for loan repayment

Any other terms and conditions which have material effects

All of the given options

Which of the following is related to the qualitative characteristics that make financial information useful?

Select correct option:

Understandability

Comparability

Both Understandability and Comparability

Reliability and Relevancy

Which of the following represents the Qualifying Asset?

Select correct option:

Inventory routinely manufactured

Asset ready for use

Manufacturing plants

None of the given options

Depreciation is best described as:

Select correct option:

A decline in the market value of the assets

A means of expanding the net-cost of non-current assets over their useful life

A source of estimating the amount of money needed to replace the assets

A means of spreading the payment for non-current assets over a period of years

Which of the following is/are the physical asset(s)?

Select correct option:

Term Finance Certificates

Loan Agreements

Trade Receivables

All of the given options

Which activities by definition do not fulfill the recognition criteria according to IAS-38?

Select correct option:

Development activities

Research activities

Both development and research activities

None of the given options

Which of the following entities is not profit oriented entity?

Select correct option:

Sole - proprietorship

Partnership

Companies

Foundations

In which of the followings system(s) FIFO and Weighted Average cost methods of inventory are used?

Select correct option:

Perpetual

Periodic System

Both Perpetual & Periodic System

None of the given options

Which of the following asset is not an example of Intangible Fixed Assets?

Select correct option:

Vehicles

Good Will

Copyrights

Trade Marks and Designs

Which of the following methodology is adopted for the valuation of investments in associated companies?

Select correct option:

Equity Method

At cost or Under IAS 39

At amortized cost

At fair value

According to Companies Ordinance 1984, at least what percentage of majority favor is required to pass the "Special Resolution"?

Select correct option:

45%

60%

75%

90%

According to IAS-16, at which amount assets can be recorded in the books of accounts of a company?

Select correct option:

Cost amount

Realization amount

Revalued amount

Both cost & revalued amount

Which of the following is(are) example(s) of Borrowing costs?

Select correct option:

Interest on bank overdrafts

Interest on short-term borrowings

Interest on long-term borrowings

All of the given options

In which year, local legislations of Pakistan permitted to make private limited company by a single person?

Select correct option:

2002

2001

2000

1999

Which of the following statement is/are INCORRECT under the Cost Method for recognition of investment in associated companies?

Select correct option:

Any distribution of profits by the investee company is recorded as an expense

Any distribution of profits by the investor company is recorded as an income

The carrying amount of the investment is increased or decreased to reorganize the investor's share of profits or losses of the investee after the date of acquisition

All of the given options

Which of the following asset is NOT an example of Tangible Fixed Assets?

Select correct option:

Patent rights

Furniture

Vehicles

Machinery

Which of the following sections of the Companies Ordinance 1984 is related to the Annual General Meeting?

Select correct option:

Section 157

Section 158

Section 159

Section 160

Who sign the Memorandum of Association (MOA) of a company?

Select correct option:

Promoters of the company

Managers of the company
Employees of the company
All of the given options

Which of the following is an identifiable non-monetary asset without physical substance?

Select correct option:

Tangible Asset
Intangible Asset
Floating Asset
Circulating Asset

A Private limited company can be formed at least by:

Select correct option:

2 members
3 members
1 member
07 members

Which of the following is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use?

Select correct option:

Applied research
Development
Business research
Accounting

Which of the following is recorded under Long Term Liabilities section of the Balance Sheet?

Select correct option:

Debentures
Creditors
Provision for Taxation
Dividend Payable

Which of the following investment are recorded using Cost Method?

Select correct option:

Investments made for longer period
Investments made for shorter period
Investments made for shorter and longer period
None of the given options

SECP (Securities and Exchange Commission of Pakistan) is governed by the

Select correct option:

Ministry of Interior
Ministry of Affairs
Ministry of Finance
Ministry of Commerce

Which of the following statement is/are INCORRECT under the Cost Method for recognition of investment in associated companies?

Select correct option:

Any distribution of profits by the investee company is recorded as an expense

Any distribution of profits by the investor company is recorded as an income

The carrying amount of the investment is increased or decreased to reorganize the investor's share of profits or losses of the investee after the date of acquisition

All of the given options

Company ABC is limited by shares which incorporated in the year of 2005. At the time of incorporation, the Memorandum of Association was developed according to which section of Companies Ordinance 1984?

Select correct option:

Section 16

Section 17

Section 18

Section 19

An inventory valuation system should exclude the cost of:

Select correct option:

Carriage in

Carriage out

Both Carriage in & Carriage out

None of the given options

In which of the following scenario(s) an investor should record the investment by using cost method according to IAS-28?

Select correct option:

When investment is solely acquired for the purpose of disposal in near future

When investment is solely acquired for the purpose of long term retaining in future

When investment is solely acquired for the unlimited period

All of the given options

How many methods are allowed for recognition of investment in associated business in accordance with "International Accounting Standards"?

Select correct option:

4

3

2

5

A Partnership firm has a maximum ____ numbers of partners.
Select correct option:

20

15

10

02

Which of the following methodology is adopted for the valuation of investments in associated companies?

Select correct option:

Equity Method

At cost or Under IAS 39

At amortized cost

At fair value

Which of the following option is/are TRUE with respect to the Disclosure requirement for intangible assets acquired by the way of Government grants?

Select correct option:

The fair value initially recognized

Disclosure for carrying amount

Disclosure for the amount of commitments for acquisition of intangible assets

All of the given options

In which of the followings has the exception to commence its operational activities without having paid up capital?

Select correct option:

Company limited by guarantee

Sole proprietorship

Company limited by shares

Partnership

Concept of Related Parties is defined in:

Select correct option:

Companies Ordinance 1984

IAS

Both Companies Ordinance 1984 and IAS

Neither in Companies Ordinance 1984 nor in IAS

Which one of the following is the main objective of IAS (International Accounting Standards)?

Select correct option:

To provide the basis to make an audit opinion

To provide the basis for presentation of financial statements

To provide the basis for production decisions

None of the given

Which of the following is(are) example(s) of Borrowing costs?

Select correct option:

Interest on bank overdrafts

Interest on short-term borrowings

Interest on long-term borrowings

All of the given options

How many person(s) is(are) required to takeover the business after the death of a member in case of Single Member company?

Select correct option:

Seven

Three

Two

One

Sitara Textile is using the prudence concept to record the profit in its income statement. According to prudence concept, Sitara Textile will record profit when it is:

Select correct option:

Expected

Realized

Material

Received

In the meeting of BODs of WAPDA, it is signed by mutual consent that "Revenues and expenses should be recognized in the period in which they are earned or incurred." This statement reflects the concept of:

Select correct option:

Materiality

Accrual Basis

Cash Basis

None of the Above

In which of the followings system(s) FIFO and Weighted Average cost methods of inventory are used?

Select correct option:

Perpetual System

Periodic System

Both Perpetual & Periodic System

None of the given options

Concept of Related Parties is defined in:

Select correct option:

Companies Ordinance 1984

IAS

Both Companies Ordinance 1984 and IAS

Neither in Companies Ordinance 1984 nor in IAS

Revaluation of asset is conducted by:

Select correct option:

Directors

Shareholders

Managers

Professional Qualified Valuers

Which one of the following is NOT recorded under Equity section of the Balance Sheet?

Select correct option:

Share Premium

Share Capital

Accumulated Profit

Dividend Payable

Accounting concept which presents non current assets should be valued at cost less accumulated depreciation rather than their imposed sale-able value is the concept.

Select correct option:

Going Concern

Materiality

Accrual Basis

Prudence

Which of the following is/are the source/s for the issuance of bonus shares?

Select correct option:

Profit and loss appropriation account

Share premium account

Revenue reserve

All of the given options

If Original cost is Rs. 100,000; Depreciation rate is 20% p.a. using straight line method; what will be the value of accumulated depreciation at the end of 2nd year?

Select correct option:

Rs. 20,000

Rs. 40,000

Rs. 80,000

Rs. 60,000

According to IAS-16, at which value assets are initially measured?

Select correct option:

Cost value

Realization value

Replacement value

All of the given options

If an intangible resource does not fulfill the criteria of intangible asset then what will be the treatment of expenditures incurred to acquire such intangible resource?

Select correct option:

It will be recorded as non-current asset of the company

It will be recorded as an expense for the period

It will be recorded as current asset of the company

It will be recorded as capital of the company

Which of the following is (are) example(s) of intangible asset(s)?

Select correct option:

Copyright

Trademark

Royalty

All of the given options

Which of the following is original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding?

Select correct option:

Research

Development

Audit

Accounting

Which of the following IAS affect(s) the recognition, presentation and disclosure of fixed assets in financial statements?

Select correct option:

IAS 01

IAS 16

IAS 23

All of the given options

Which of the following is a rebate or allowance from the scheduled price granted by the seller to the buyer?

Select correct option:

Trade Discount

Cash Discount

Purchases return

Which of the following intangible assets have un-limited life?

Select correct option:

Copyright

Goodwill

Licensing

Franchising

Reference:

Copyright:

In Pakistan following formula is used for the useful life of copyright: author's life plus an additional 50 years after the author's death. In the case of "a joint work prepared by two or more authors who did not work for hire," the term lasts for 50 years after the last surviving author's death. For works made for hire, and for anonymous and pseudonymous works the duration of copyright will be **50 years** from publication.

Good will: Up to a period not to exceed **40 years**.

Franchising and licensing are for the particular time period which will be mentioned in the **contract** by the parties involved in it.

Which of the following IAS deals with Inventories

IAS 38

IAS 23

IAS 02

IAS 16

If an intangible resource does not fulfill the criteria of intangible asset then what will be the treatment of expenditures incurred to acquire such intangible resource?

Select correct option:

It will be recorded as non-current asset of the company

It will be recorded as an expense for the period

It will be recorded as current asset of the company

It will be recorded as capital of the company

Which of the following is the deduction or allowance allowed by a creditor to a debtor?

Select correct option:

Trade Discount

Cash Discount

Purchases return

Sales return

What is the treatment of Accumulated Depreciation in accounting?

Select correct option:

Treated as a reserve

Treated as a contra asset

Treated as a surplus

Treated as an expense

Which one of the following is related to IAS 32 & 39?

Select correct option:

Property, Plant & Equipment

Inventory

Financial Statements

Financial Instruments

Which one of the following is a fixed asset?

Select correct option:

Cash in hand

Advanced payment

Closing stock

Leasehold vehicle

Which of the following is INCORRECT with respect to Perpetual Inventory System?

Select correct option:

Receipt of inventory is debited to Stock Account

Issuance of inventory is Credited to Stock Account and Debited to Material

Consumption Account

Receipt of inventory is debited to Purchase Account

Material Consumption Account becomes the part of Trading Account

Which one of the following is TRUE with respect to "FIFO" in inventory valuation?

Select correct option:

First-In-First-Out

First-In-Freight-Out

Freight-In-First-Out

Freight-In-Freight-Out

Partnership firms are registered under which of the following?

Select correct option:

Partnership Act 1932

Companies Ordinance 1984

Partnership Agreement

Income Tax Ordinance 1979

In which year, local legislations of Pakistan permitted to make private limited company by a single person?

Select correct option:

2002

2001

2000

1999

Which of the following IAS deals with Inventories?

Select correct option:

IAS 38

IAS 23

IAS 02

IAS 16

Which of the following is NOT a Qualifying Asset?

Select correct option:

Power plant being in the process of manufacturing

Inventories requiring a substantial period for manufacturing

Special order for a special inventory that will be manufactured in 5 months

Asset ready for use

According to IAS-16, at which amount assets can be recorded in the books of accounts of a company?

Select correct option:

Cost amount

Realization amount

Revalued amount

Both cost & revalued amount

An inventory valuation system should include the cost of:

Select correct option:

Carriage in

Carriage out

Both Carriage in & Carriage out

None of the given options

In relation to the valuation of inventory, net realizable value means:

Select correct option:

The expected selling price less disposal costs less the cost of completion

The expected selling price of the inventory

The replacement cost of the inventory

The market price of the inventory

Which of the following is/are INCORRECT with respect to the Capital section of the balance sheet for a sole-proprietorship?

Select correct option:

Opening Capital – New Capital + Profit for the year = Closing Capital

Opening Capital – New Capital + Loss for the year = Closing Capital

Opening Capital – Loss for the year + Drawings = Closing Capital

All of the given options

Reference: -

Capital section of the balance sheet for a sole-proprietorship is as follows.

- Opening Capital + New Capital + Profit for the year = Closing Capital
- Opening Capital + New Capital - Loss for the year = Closing Capital
- Opening Capital – Loss for the year - Drawings = Closing Capital

Which of the following is original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding?

Select correct option:

Research

Development

Audit

Accounting

Which of the following IAS deals with the Associated Companies?

Select correct option:

IAS 27

IAS 28

IAS 01

IAS 07

07

Who elect the Managing Director of a company?

Select correct option:

Board of Managers

Board of Employees

Board of Directors

Board of Revenue

Which of the following is Not a qualitative characteristic of financial statements according to the IASB's Framework?

Select correct option:

Materiality

Understandability

Comparability

Relevance

Note!

In this case you can select any one.

Reference

Qualitative Characteristics

The financial statement should possess following qualitative characteristics:

1. Understandability:
2. Relevance:
3. Materiality:
4. Reliability:
5. Faithful representation:
6. Substance over form:
7. Neutrality:
8. Prudence:
9. Completeness:
10. Comparability:
11. Timeliness:
12. Balance between cost and benefit:
13. Balance between qualitative characteristics:
14. True and fair presentation:

Which of the following is the correct formula to find the Present Value? Where r = Interest rate and n = Time period

Select correct option:

Future value $X \frac{1}{(1 + r)^n}$

Future value $X \frac{1}{(1 + r)^{-n}}$

Future value $(1 - r)^{-n}$

Future value $(1 \times r)^{-n}$

Which of the following is/are the type(s) of stock for manufacturing concerns?

Select correct option:

Raw Material

Work in Process

Finished Goods

All of the given options

According to Companies Ordinance 1984, minimum number of member/members in public unlisted company must be:

Select correct option:

1

3

2

7

In which document the information about how to run the business is stated?

Select correct option:

Memorandum of Association

Memorandum of Understanding

Articles of Association 1st schedule

Annual Report

Which of the following is/are excluded from Financial Assets?

Select correct option:

Physical Assets

Inventories

Prepaid expenses

All of the given options

Which of the followings information(s) should be disclosed by a company in respect of long term loans made to others?

Select correct option:

Interest rate

Period or installments for loan repayment

Any other terms and conditions which have material effects

All of the given options

Which of the following is (are) related with the IAS 23?

Select correct option:

Qualifying Assets

Amount to be capitalized related to the Borrowing cost

Capitalization period related to the Borrowing cost

All of the given options

Under which of the following assumptions, the Financial Statements are to be prepared?

Select correct option:

Future assumption

Past assumption

Accrual basis and Going concern assumptions

Accrual basis assumption only

Which one of the following is related to the Allowed Alternative Treatment for an investment in jointly controlled entities?

Select correct option:

Proportionate Consolidation Method

Equity Method

Weighted Average Method

Sum of Year Digit Method

Which of the following is an artificial person recognized by law?

Select correct option:

Limited company

Partnership

Sole-proprietorship

Trust

Which of the following is the amount for which an asset could be exchanged between knowledgeable, willing parties in an arm's length transaction?

Select correct option:

Depreciable Amount

Fair Value

Cost

Carrying Amount

Which organizations are required special approvals from SECP for their establishment?

Select correct option:

Manufacturing Organizations

Non Profit Organizations

Profit Making Organizations

Service Organizations

Which of the following investments are recorded using Equity Method?

Select correct option:

Investments made for longer period

Investments made for shorter period
Investments made for shorter and longer period
None of the given options

Which of the following is TRUE with respect to Liability?

Select correct option:

It is a present obligation of the entity arising from a past event the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

It is a past obligation of the entity arising from a future event the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

It is a present obligation of the entity arising from a past event the settlement of which is expected to result in an inflow from the entity of resources embodying economic benefits.

It is not a present obligation of the entity arising from a past event the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

Which one of the following is an example of Financial Asset?

Select correct option:

Inventories

Patent rights

Goodwill

Accounts receivable

Which of the following is shown on the liability side of Balance Sheet?

Select correct option:

Discount on issue of shares

Premium on issue of shares

Preliminary expenses

Which of the following statement is/are INCORRECT under the Cost Method for recognition of investment in associated companies?

Select correct option:

Any distribution of profits by the investee company is recorded as an expense

Any distribution of profits by the investor company is recorded as an income

The carrying amount of the investment is increased or decreased to reorganize the investor's share of profits or losses of the investee after the date of acquisition

All of the given options

If Original cost is Rs. 100,000; Depreciation rate is 20% p.a. using straight line method; what will be the value of accumulated depreciation at the end of 2nd year?

Select correct option:

Rs. 20,000

Rs. 40,000

Rs. 80,000

Rs. 60,000

In balance sheet, surplus on revaluation of fixed assets is shown as part of:

Select correct option:

Fixed assets on asset side

Current assets on asset side

Capital on liabilities side

Current liabilities on liabilities side

When it is appropriate for a company to use Weighted Average Cost method of inventory?

Select correct option:

When prices of materials are more stable

When prices of materials are more volatile

When prices of materials are constantly decreasing

When prices of materials are constantly increasing

Which of the following is/are the Classification of Current Assets with respect to the Companies Ordinance 1984?

Select correct option:

Cash Balance

Loans and Advances

Bank Balance

All of the given options

Which is/are the qualitative characteristic/ characteristics of financial statements according to the IASB's Framework?

Select correct option:

Understandability

Comparability

Relevance

All of the given

Which of the following is the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use?

Select correct option:

Applied research

Development

Business research

Accounting

Which of the following is INCORRECT with respect to Periodic Inventory System?

Select correct option:

Receipt of inventory is debited to Purchase Account

Closing stock is recorded by debiting Stock Account and crediting Trading Account

Receipt of inventory is debited to Stock Account

No record is made for individual issue in the General Ledger

Which of the following is TRUE about the changes due to issuance of bonus shares?

Select correct option:

Decrease in reserves and surpluses

Increase in reserves and surpluses

Increase in working capital

Decrease in working capital

In financial year 2010, a company XYZ (Pvt.) Ltd. was established with registered office in Islamabad. According to Companies Ordinance 1984, what will be the maximum number of shareholders of company XYZ (Pvt.) Ltd.?

Select correct option:

7

20

50

15

Section 96 of the Companies ordinance 1984 is applied on which of the following companies?

Select correct option:

Listed companies only

Non listed companies only

Private companies only

All companies

Which of the following is Not a qualitative characteristic of financial statements according to the IASB's Framework?

Select correct option:

Materiality

Understandability

Comparability
Relevance

Which of the followings head(s) can be the part of “Deferred Cost”?

Select correct option:

Discount allowed on the issue of shares by a company
Brokerage fee on the issue of shares by a company
Preliminary expenses incurred by a company

All of the given options

Which of the following is another name for Authorized Capital of a company?

Select correct option:

Nominal Capital
Issued Capital
Subscribed Capital
Paid up Capital

A debit balance of Rs.5,000 on A’s account in the books of B means that:

Select correct option:

A is receivable of B
B is receivable of A
B owes A
A owes B

Preparation and presentation of Financial Statements are governed by:

Select correct option:

Companies Ordinance 1984
International Accounting Standards
International Financial Reporting Standards
All of the given options

Which type of lease is normally long term and transfers all the risks and rewards of ownership?

Select correct option:

Finance lease
Operating lease
Sale & lease back
Hire Purchase Agreement

Which of the following may result for an inability to sell a financial asset quickly at close to its fair value?

Select correct option:

Price Risk

Liquidity Risk

Interest Rate Risk

Currency Risk

Which of the following IAS deals with Inventories?

Select correct option:

IAS 38

IAS 23

IAS 02

IAS 16

In which of the followings system(s) FIFO and Weighted Average cost methods of inventory are used?

Select correct option:

Perpetual System

Periodic System

Both Perpetual & Periodic System

None of the given options

Which type of lease is normally Not long term and transfers all the risks and rewards of ownership?

Select correct option:

Finance lease

Operating lease

Sale & lease back

Hire Purchase Agreement

Which of the following is/are the type(s) of stock for manufacturing concerns?

Select correct option:

Raw Material

Work in Process

Finished Goods

All of the given options

Which one of the following is the main objective of IAS (International Accounting Standards)?

Select correct option:

To provide the basis to make an audit opinion

To provide the basis for presentation of financial statements

To provide the basis for production decisions

None of the given

Which one of the following is a method of stock valuation?

Select correct option:

Diminishing Balance Method

Written Down Value Method

Specific Identification Method

Sum of Year Digit Method

Which of the following IAS deals with the Intangible Assets?

Select correct option:

IAS 38

IAS 23

IAS 01

IAS 16

What is the allowed alternative treatment of borrowing cost under IAS-23?

Select correct option:

It should be charged as an expense

It should be capitalized

It should be both charged as an expense and capitalized

None of the given options

When it is appropriate for a company to use Weighted Average Cost method of inventory?

Select correct option:

When prices of materials are more stable

When prices of materials are more volatile

When prices of materials are constantly decreasing

When prices of materials are constantly increasing

Which of the following items qualify as an intangible asset according to IAS-38?

Select correct option:

Promotion and advertising on the launching of a famous product

University tuition fee paid to employees who decide to enroll in MBA program at VU while working with the company

Operational loss incurred at the initial stages of a new project

Registration charges paid to intellectual property lawyer for registering a patent

Which document contains the information about authorized share capital of a company?

Select correct option:

Memorandum of Association

Memorandum of Undertaking

Memorandum of Understanding

Both Memorandum of Association & Memorandum of Understanding

According to fourth schedule of Companies Ordinance 1984, a manufacturing company made the treatment of loose tools and spare would be valued at:

Select correct option:

Lower of cost or NRV

Actual price

Market price

Cost price

Which of the following asset is not an example of Intangible Fixed Assets?

Select correct option:

Vehicles

Good Will

Copyrights

Trade Marks and Designs

Which of the following is/are equal to “Capital”?

Select correct option:

Net Assets

Assets – Liabilities

Net worth of the firm

All of the given options

Which of the following is/are related to the IAS-37?

Select correct option:

Provisions

Contingent Liabilities

Contingent Assets

All of the given options

Which of the following is (are) related with the IAS 23?

Select correct option:

Qualifying Assets

Amount to be capitalized related to the Borrowing cost

Capitalization period related to the Borrowing cost

All of the given options

In the meeting of BODs of WAPDA, it is signed by mutual consent that “Revenues and expenses should be recognized in the period in which they are earned or incurred.” This statement reflects the concept of:

Select correct option:

Materiality

Accrual Basis

Cash Basis

None of the Above

Minimum Lease Payment = -----.

Select correct option:

Initial Payments + Contingent rent – Down Payments

Initial Payments + All lease rentals + Contingent rent

Initial Payments + Insurance paid by lessor and recovered from lessee + Any lease processing charges

Initial Payments + All lease rentals + Any amount that is guaranteed to be paid during or at the end of the lease term

Which of the following is NOT a current liability?

Select correct option:

Accounts payable

Accrued liabilities

Bills payable

Bonds payable

Which of the following is (are) intangible resources for a company?

Select correct option:

Software licensing

Royalty

Production rights

All of the given options

Which of the following is an example of current liability?

Select correct option:

Account Receivable

Debenture

Loan given to Mr. A for shorter period

Loan received from Mr. B for shorter period

Which of the following is/are NOT the example(s) of Financial Asset?

Select correct option:

Minority interest

Sale of goods

Purchases of goods

All of the given options

What is the minimum limitation for subscribers for holding shares of the company?

Select correct option:

One share

Five shares

Ten shares

Hundred shares

The concepts of present value and future value are:

Select correct option:

- Directly related to each other
- Not related to each other
- Proportionately related to each other
- Inversely related to each other

ABC Co. exchanges its production machine with filtration plant from XYZ Co. At what value ABC Co. will record the filtration plant in its books of accounts?

Select correct option:

- Carrying value of filtration plant
- Realization value of filtration plant
- Residual value of filtration plant
- Fair value of filtration plant

Which of the following schedule of the Company Ordinance 1984 is related to the classification of intangible assets?

Select correct option:

- 4th schedule
- 5th schedule
- 6th schedule
- 2nd schedule

Which of the following IAS covers the Long-Term Financing?

Select correct option:

- IAS 32 only
- IAS 39 only
- Both IAS 32 and IAS 39
- IAS 17

Which one of the following expenses should be included in prime cost?

Select correct option:

- Repairs to factory plant
- Office salaries
- Factory insurance
- Direct production wages

Which of the following section of the Companies Ordinance 1984 deals with Revaluation of Fixed Assets?

Select correct option:

- Section 235
- Section 236
- Section 237
- Section 238

Minimum Lease Payment = _____.

Select correct option:

Initial Payments + Contingent rent – Down Payments

Initial Payments + All lease rentals + Contingent rent

Initial Payments + Insurance paid by lessor and recovered from lessee + Any lease processing charges

Initial Payments + All lease rentals + Any amount that is guaranteed to be paid during or at the end of the lease term

What is the treatment of Depreciation in accounting?

Select correct option:

Treated as a reserve

Treated as an expense

Treated as a surplus

Treated as a Liability

If an intangible resource does not fulfill the criteria of intangible asset then what will be the treatment of expenditures incurred to acquire such intangible resource?

Select correct option:

It will be recorded as non-current asset of the company

It will be recorded as an expense for the period

It will be recorded as current asset of the company

It will be recorded as capital of the company

When we see the capital with respect to the net assets then it is called:

Select correct option:

The financial concept of capital maintenance

The physical concept of capital maintenance

Both physical and financial concept of capital maintenance

Neither physical nor financial concept of capital maintenance

Which is/are the qualitative characteristic/ characteristics of financial statements according to the IASB's Framework?

Select correct option:

Understandability

Comparability

Relevance

All of the given